

parents never developed a written plan and had no idea of their actual financial situation. If you find yourself hoarding money or acting miserly, having the facts and figures of your financial situation down on paper will open your eyes to the reality and help you set appropriate spending levels.

Words of Wisdom

It is important to learn to realize your tendencies and also be aware of the dangers of carrying any of the money characteristics to the extreme. Never underestimate the power of the psychological impact of money. Money involves many human emotions like greed, envy, compassion, anger, and jealousy. To understand what money means to you and how it governs your decisions allows you to be better equipped to control the power of money instead of letting money control you.

By completing the quizzes and charts from this chapter you should have become more aware of the reasons behind your emotional money decisions. You will have recognized:

- Your primary money drive.
- Any mood patterns when spending money.
- Any self-defeating attitudes toward money.
- Whether your financial decisions are primarily emotional or logical.
- The amount you should have in an emergency savings account.

